

About Value Recognition Standard (VRS)

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Architecture: VFM® — Value Flow Mechanisms Architecture Category: Governance & Enforcement Subcategory:
Value Lifecycle Governance Parent Standard: Value Recognition Standard (VRS) Governed Space: Value Recognition

Canonical Definition

Value Recognition Standard (VRS) governs when existing value may be formally recognized as value within a defined governance context and establishes the criteria, basis, determination, limitations, and traceability required for that recognition.

VRS creates a governed separation between two fundamentally different conditions:

Value exists.

and

Value is recognized.

Recognition does not create value merely by declaration, and failure to recognize value does not prove that value does not exist.

Why VRS Matters

Many systems recognize only the forms of value they are designed to see.

An accounting system may recognize one form of value. A bank may recognize another. A company may recognize operational or strategic value that does not appear on its balance sheet. A government may recognize public or infrastructural value that has no direct market price. A technological system may reveal previously unrecognized value in data, capacity, energy, knowledge, or resources.

Without an explicit recognition layer, these different recognition systems can easily be confused with the existence of value itself.

VRS prevents that confusion.

It asks:

What existing value is being recognized?

Within what context?

According to what criteria?

On what basis?

With what limitations?

For how long does that recognition remain applicable?

Governance Flow

Within the complete VFM® lifecycle:

Value Context → Value Origin → Value Emergence → Value Recognition → Value State → Value Change → Value Development / Value Degradation → Value Nullification → Value Restoration / Value Extinction

VRS governs the fourth governed space:

Existing Value → Recognition Criteria → Recognition Basis → Recognition Determination → Recognition Limitations → Recognition Record → Recognized Value → Value State Governance

This position is important because recognition can occur only after the architecture has established what value is being governed, where it originates, and whether that value has actually emerged.

What VRS Helps Organizations Govern

VRS provides a structured method for distinguishing:

Value Existence ≠ Value Recognition

Recognition ≠ Value Creation

Non-Recognition ≠ Zero Value

Recognition Status ≠ Value State

Recognition Change ≠ Value Change

Market Price ≠ Value Recognition

Accounting Recognition ≠ VFM® Value Recognition

Recognized Value ≠ Taxable Value

The result is a recognition layer that can coexist with financial, accounting, market, regulatory, operational, technological, or institutional systems without allowing any one of those systems to become the universal definition of whether value exists.

Contextual Recognition

Recognition under VRS is explicitly contextual.

The same value may simultaneously be:

recognized operationally,

unrecognized financially,

recognized strategically,

conditionally recognized institutionally,

or

recognized for one beneficiary but not another.

These outcomes are not necessarily contradictory.

They may reflect different recognition contexts, purposes, criteria, and beneficiaries.

VRS therefore preserves the relationship:

Value + Context + Recognition Basis + Recognition Determination + Limitations

rather than reducing value recognition to a universal yes/no declaration.

Recognition Does Not Control Value Existence

One of the strongest protections created by VRS is that the recognizing system does not automatically gain authority over the existence of value.

A bank failing to recognize a particular form of value does not prove that the value does not exist.

An accounting framework not representing a form of operational value does not automatically eliminate that value.

A market assigning no price does not automatically establish a zero-value state.

An institution withdrawing recognition does not automatically extinguish the underlying value.

These questions belong to different stages of the VFM® lifecycle.

Recognition governs the relationship to existing value — not the existence of value itself.

Use Case 1 — Banking: Recognizing Value

Beyond Conventional Asset Representation

A bank evaluates a company whose conventional financial statements show physical assets, cash flows, liabilities, and recognized intangible assets.

However, the company also possesses substantial capabilities that may materially affect its future performance:

proprietary datasets, specialized operational knowledge, AI capability, infrastructure access, technological capacity, established networks, or other resources that may not be represented in the same way within conventional financial reporting.

VRS does not tell the bank what those resources are worth.

Nor does it replace accounting standards, valuation methodology, credit methodology, or financial regulation.

Instead, VRS provides a governance layer for asking:

Does value associated with this resource already exist?

If so:

Does the bank recognize that value for this specific analytical purpose?

What criteria support recognition?

What evidence or basis supports it?

What limitations apply?

The bank might therefore establish:

Existing Value → Recognized for Strategic Assessment

while simultaneously maintaining:

Not Recognized as Accounting Asset

and:

Not Yet Recognized for Collateral Purposes.

Instead of forcing one recognition system to represent every form of value, VRS allows several recognition relationships to coexist transparently.

This creates a potentially powerful foundation for more sophisticated banking, investment, credit, enterprise-value, and risk-analysis systems.

Use Case 2 — Space Mission: Recognizing Value

Created by Avoided Cost and Preserved

Capability

A space organization develops a new mission-planning system that reduces unnecessary fuel consumption, simulation workload, mission preparation time, hardware testing, or operational risk.

Traditional project accounting can record many of the costs involved.

But the organization may also need to understand another question:

What value has been created by resources that no longer need to be consumed?

Suppose improved mission planning avoids:

500 hours of engineering work,

thousands of simulation executions,

unnecessary hardware testing,

or

additional mission fuel requirements.

The underlying benefit may already exist because the organization has materially avoided resource consumption.

VRS provides the recognition layer for determining whether that existing benefit is recognized as value within the relevant mission, operational, strategic, or resource-efficiency context.

The recognition can remain explicitly bounded:

Recognized Operational Value

without automatically becoming:

Accounting Asset

Market Value

or

Taxable Value.

Subsequent VFM® standards can then govern the state, development, degradation, nullification, or restoration of that value.

This allows organizations to govern value that conventional systems may not have been designed to represent directly.

Enterprise Value

VRS gives organizations a common methodological layer for recognizing different forms of existing value without collapsing them into price, accounting treatment, taxation, ownership, or market acceptance.

This can be particularly useful across banking, investment, public finance, industrial systems, infrastructure, technology, AI, energy, science, digital assets, intellectual property, resource optimization, and government decision-making.

The deeper advantage is interoperability.

Different systems may disagree about whether they recognize a value while still referring to the same governed value object and lifecycle.

That makes recognition differences visible, comparable, traceable, and eventually machine-readable.

Foundational Principle

Value does not begin to exist because a system recognizes it, and it does not cease to exist merely because a system fails to recognize it.

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Related Documents

→ [Value Recognition Standard \(VRS\)](#).

→ [VFM® Complete Standards & Modules Index](#)

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